

Chapter “4”



MANAGING IN GLOBAL ENVIRONMENT

Outline



- With the internet invention in the 80's the world became what is known as a “small village”. Since Tim Berners-Lee invented the World Wide Web in 1989, it became a must for any organization wanting to expand its business to go global and establish branches all over the world. With this new mindset the terms “Global Management” & “Managing In a Global Environment” became facts.

Outline



Globalization



Outline



Globalization:

- Is a term used to describe how trade and technology have made the world into a more connected and interdependent place.
- It also captures in its scope the economic and social changes that have come about as a result

Global management



Effect of internet invention on global management:

The impact of Internet on globalization is big and it has different aspects. It includes the modernization and improvement in the business sector. Nowadays many businesses improve their global competitiveness and productivity between each other as the market became broader and much too competitive with consumers with much more options and choices

Global management

Global Organization vs Global Environment

We have to differentiate between the global organization and global environment and how the global environment resulted in the presence of the global organization.



Global management



Global Organization vs Global Environment

- Global organizations are the ones that operate and compete in different countries, they usually have different branches, head offices and point-of-sales in different countries other than their origin and that is to compete in various markets.
- Global environment is a set of global forces, rules and conditions that an organization has to deal with if it decided to be a global organization. These forces may be beyond the organization boundaries and authorities; however, it is certain that these conditions affect management ability to utilize different resources.

Global management



How to effectively manage in a Global Environment

- For business this approach created new opportunities and new markets for the organizations, but having new opportunities in different zones on the planet has some challenges (e.g. logistics, recruitment, tariffs,etc.) which can be very complex to different organizations that exist in different continents.
- Here are a few strategies to take in consideration.

Global management



A- Create healthy work environment

- Each employee in global environment will feel superior in a certain way because of his nationality.
- Global organization should provide trainings between employees and projects stakeholders, in which we stress on the benefits of having diverse workforce and how we can utilize our different points of strength to help the organization stepping up.
- These trainings are so important for employees who are managing a team in a second country and reporting to a manager in a third country.

Global management



B- Understand different cultures

- Cultural differences will appear first in forms of laws, regulations, legal/illegal actions.
- Other obstacle that might be faced is the habits and culture norms (some countries regulate certain separation between work places of males and females, other countries mind more about working hours and the professional/personal life distance, other countries mind about appearances more.
- Cultures of different countries should be well understood to counterpart to avoid any struggle.

Global management



C- Fill Leadership Positions

- When expanding in different countries, managers have to be chosen carefully. These managers should be skilled enough to lead a local team and report to a foreign manager.
- Managers should have the skills of great managers to succeed, like good communication skills, good vision, flexibility, listen to employees concern, has the ability to motivate his employee when needed and other skills that are essential in a good manager to be.

Global management



D- Integrated systems

- In order to succeed with the global organization model software system that is integrated within all branches should be employed.
- Everyone should work on the same system sharing same information aware of all decisions taken instantly.
- Systems shouldn't be only software but also hardware systems like security hardware that would help the enterprise defend its data from hackers.

Types of management

Before digging deep into different styles of people management, will try to briefly mention the different types of Management:

- **Strategic Management**

It is defining the company's strategy, goals and initiatives and work on achieving them.

- **Sales Management**

Managing Sales and company's accounts

- **Marketing Management**

Managing the market by providing ideas and strategies to succeed considering the current market changes.

- **Public relations**

Responsible of the communication between the company and the public.

- **Operations Management**

Managing the production/implementation of your product/service till reaches point of sale.

Types of management



- **Supply Chain Management**

Managing the procedure of delivering the product/service to the end user.

- **Procurement Management**

More concerned about contracts and relationships with 3rd parties.

- **Financial Management**

Managing anything related to monetary and finance.

- **Human Resources Management**

Responsible of different types of people management. Different studies assured that people management is the toughest type of all management types.

Types of management



- **Information Technology Management**

Managing anything related to technology and information exchange (software/hardware)

- **R&D Management**

Research and development management

- **Risk Management**

Type of management that is essential in big projects where you should anticipate a risk factor with a specific percentage to avoid any issues that may result in ruining the project or company's goal.

- **Quality Management**

Focused on proving the product/service with the best quality possible.

Management styles



1. Authoritative

An authoritative manager follows a top-down approach to leading.

Pros: Useful when it's necessary to make effective decisions quickly.

Cons: New and innovative ideas rarely emerge

2. Consultative

They often have an open-door policy that encourages employees to share what is and isn't working in the organization.

Pros: Often leads to higher employee engagement.

Cons: A consultative management style isn't always efficient as many people are involved in making decisions.

Management styles



3. Democratic or participative

This style includes effective communication and openness through all levels of the organization.

Pros: Encourages them to tap into their full potential at work.

Cons: Consumes time as Decision-making often involves debates and consulting multiple parties.

4. Laissez-faire

In this management style, managers monitor what's happening with employees, but don't become too involved with the day-to-day tasks.

Pros: It gives self-motivated employees the space they need to be productive. This could be particularly useful in a creative environment.

Cons: Because this management style is hands-off, it can leave some employees feeling neglected or in need of guidance and direction.

Management styles



5. Persuasive

They share an honest rationale behind decision-making policies that can foster an inclusive and trusting environment.

Pros: It can be especially helpful when leading a less experienced team.

Cons: It's a one-way communication process and employees don't necessarily have an avenue to give feedback.

6. Transformational

Leaders with this style often push their employees to set and reach goals even if it makes them slightly uncomfortable.

Pros: Adaptability, problem-solving and innovation can be especially useful for companies in competitive industries that change quickly.

Cons: This management style requires the right kind of employees.

Management styles



7. Transactional

Relies on attaining goals through structure, supervision and a system of rewards and punishments.

- **Pros:** This style works well with self-motivated employees and establishes unity throughout the company.
- **Cons:** This style does not address overall company goals or long-term goals and may not motivate all types of employees.

8. Collaborative

Because of their emphasis on employee satisfaction and teamwork, they tend to achieve higher levels of respect.

- These types of leaders are exceptionally skilled in building employee morale and helping people re-engage with their work.
- **Pros:** They are more in-the-know when it comes to the challenges of getting work done on their team.
- **Cons:** They might find it difficult to create time and space for high-level, strategic planning.